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FIELD GUIDE · 2026

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# The Systematic Trader's Field Guide

A practical introduction to algorithmic trading, market research, risk management, and honest backtesting — across forex, commodities, equities, indices, and digital assets.

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**The Systematic Trader's Field Guide**

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CHAPTER 00

# How to Use This Book

This is a field guide, not a system for sale. By the last page you will not have a strategy that prints money — nobody can honestly sell you that. What you will have is the complete workflow professionals use to *find, test, size, and operate* trading strategies, and — just as important — the defenses against the mistakes that quietly destroy most retail accounts: oversized positions, overfitted backtests, and strategies that never had an edge in the first place.

The chapters build on each other. Chapters 1–2 set the foundation: how to think, and how markets mechanically work. Chapters 3–5 cover research — where trading ideas come from, and how technical and fundamental analysis fit into a systematic process. Chapters 6–8 are the engine room: backtesting, risk, and performance measurement. Chapter 9 takes you from a validated idea to live capital. The Toolkit at the back contains printable worksheets you can use for every strategy you ever research.

You'll see three recurring elements. **Worked examples** use small, realistic numbers you can recompute by hand. **Pseudocode blocks** show the logic precisely for readers who want to implement it — you can skip them without losing the thread. **Checklists** close each chapter; they are the compressed, actionable version of everything above them.

> **A NOTE FROM THE AUTHOR**
>
> I've spent my career as an economist and systematic investor, and the single most valuable lesson wasn't a strategy — it was learning to distrust my own results until the evidence forced me to believe them. That skepticism is the real product of this book. Strategies come and go; the process of validating them honestly is the durable edge. — *Ahmet S. Ozturk*

One promise before we start: this book contains no profit claims, no "guaranteed" setups, and no screenshots of cherry-picked winning trades. Where a technique has failure modes — and they all do — you'll read about them in the same breath as the technique itself.

CHAPTER 01

# The Systematic Mindset

*Why the trader's real job is running a process, not predicting the future.*

Ask a beginner what a trader does and they'll say: *predicts where price is going*. Ask a professional and you'll hear something closer to: *manages a portfolio of small statistical advantages while making sure no single loss, streak, or mistake can end the game.* That gap in job description explains most of the gap in results.

A **systematic** trader writes down rules — for what to trade, when to enter, when to exit, and how much to risk — and then follows them. The rules can be executed by code (algorithmic trading) or by a disciplined human; what matters is that the decisions are made *before* the money is on the line, when you are calm, not during a drawdown, when you are not.

## Thinking in expectancy, not outcomes

A single trade tells you almost nothing. A good decision can lose money; a terrible one can pay off. The systematic mindset judges decisions by their **expectancy** — the average result you'd get if you repeated the same decision hundreds of times:

```
Expectancy = (Win rate × Avg win) - (Loss rate × Avg loss)
```

A system that wins only 40% of the time but makes 2R on winners and loses 1R on losers has an expectancy of (0.40 × 2) − (0.60 × 1) = **+0.20R per trade** — a solid edge. A system that wins 90% of the time but occasionally loses 15R has negative expectancy and will eventually ruin its owner, usually right after a long comfortable winning streak convinced them to size up. Win rate alone tells you nothing.

## The biases your rules must defend against

Systematic rules aren't just for finding edges — they're armor against your own wiring. These are the failure patterns worth designing against explicitly:

| BIAS | HOW IT SHOWS UP | SYSTEMATIC DEFENSE |
|---|---|---|
| **Loss aversion** | Cutting winners early, letting losers run | Predefined stop & target; exits written before entry |
| **Revenge trading** | Doubling size after a loss to "make it back" | Fixed-fractional sizing; daily loss limit halts trading |
| **Confirmation bias** | Only noticing evidence that supports the open position | Invalidation level defined at entry — price decides, not you |
| **Recency bias** | Abandoning a system after 5 losses; sizing up after 5 wins | Evaluate on 50–100 trade samples, never streaks |
| **Overconfidence** | Concentrated bets, excessive leverage after a good run | Hard caps on position size and total open risk |
| **FOMO** | Chasing moves that already happened, no plan | Only take setups defined in the strategy spec — no exceptions |

## Process goals beat outcome goals

You cannot control whether next month is profitable — variance decides that. You *can* control whether every trade followed your rules, whether every position was sized correctly, and whether your journal is complete. Traders who grade themselves on process execution improve; traders who grade themselves on P&L oscillate between euphoria and despair while learning nothing. A useful weekly question: *"If I made these exact decisions 1,000 times, would I come out ahead?"* — not *"did this week make money?"*

**REALITY CHECK**

Most studies of retail trading find that a large majority of active retail traders lose money over time, and regulators require CFD brokers to disclose that typically 70–80% of their retail accounts lose. The edge you're competing for is real but small, and the people on the other side are well capitalized and well equipped. Respecting that is the first risk-management decision you'll make.

**CHAPTER 01 CHECKLIST**

- ☐ I judge my trading by expectancy over large samples, not by individual outcomes.
- ☐ Every entry, exit, and position size is decided by written rules, before capital is at risk.
- ☐ I have a daily loss limit that stops my trading — automatically or by hard rule.
- ☐ My weekly review grades rule-following and sizing discipline, not just P&L.